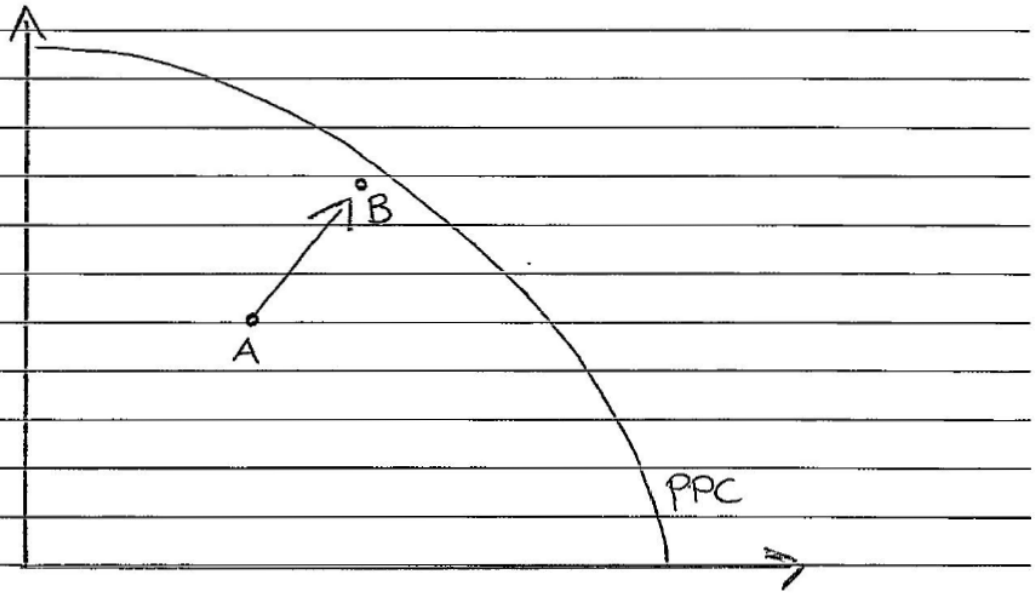
2 a) (i) * Equality for women
* Happy Planet

(ii) Tariffs are a form of trade protection. A tariffs sets a higher price on imported goods to protect domestic producers.

b) (i)



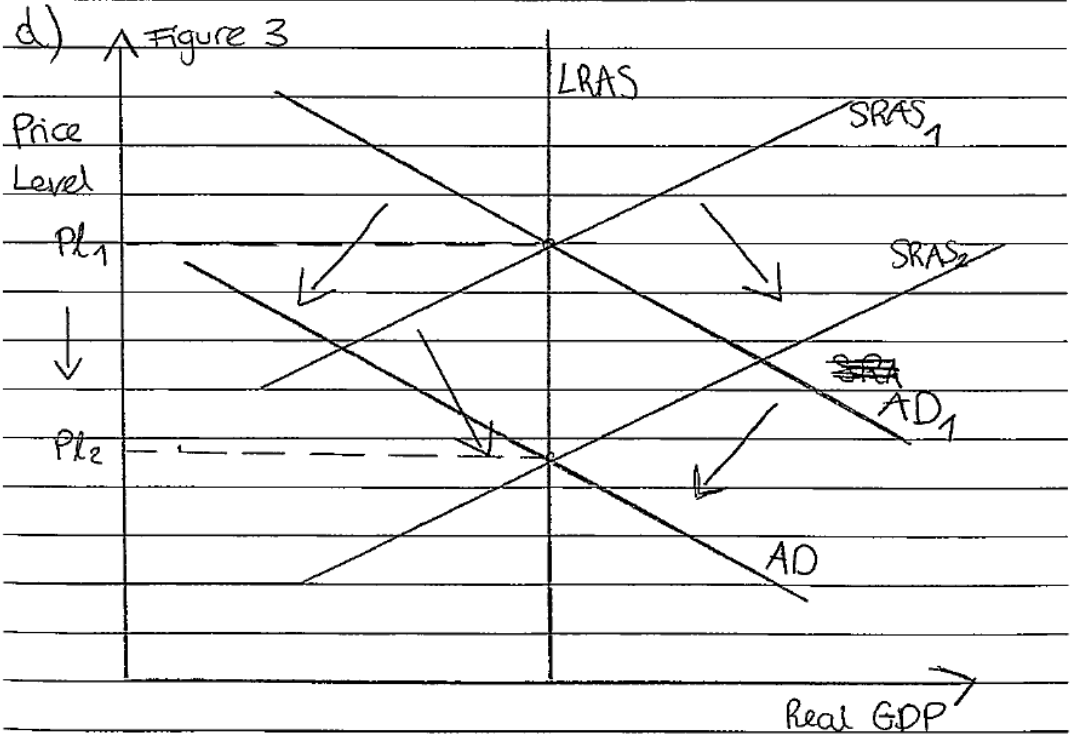
(ii) 6960 × 100 = 696000 US $ million

c)

Education for teenage girls in Malawi can break the poverty cycle by educating girls further than just primary school. Afterwards graduate highschool and ending up with further education which could give them a degree. Most young adults with university degrees are more likely to get a good job that isn't seasonal. Adults with a degree are also more likely to have a higher income than adults that don't have a degree.

d)

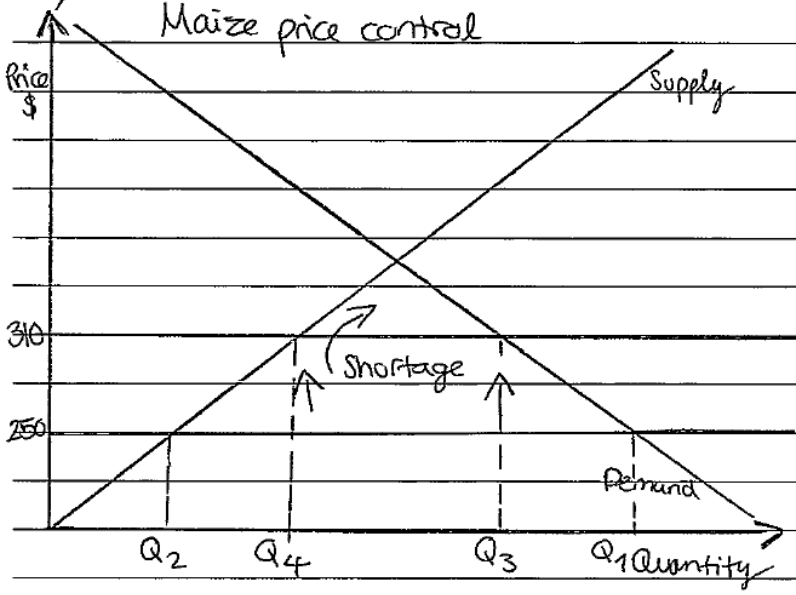
Figure 3



In figure 3 SRAS shifts to the right because there is a reduction in spending, therefore AD also has to shift to the left. This ~~[illegible]~~ creates a new equilibrium at a lower price level.

e)

f)



The ~~[illegible]~~ rise in price creates less shortage but there is still welfare loss, ~~[illegible]~~ in this case shortage because there is a higher demand for Maize at that price than supply.

2

g) Malawi's main concern at the moment is the high levels of absolute poverty in rural areas. Approximately 80% of the labour force is employed in agriculture. Therefore, the government is planning to spend the US $157 million budget on the agricultural sector, which will not only benefit large-scale farmers but also the small-scale farmers that often don't get support. Farmers are struggling because of land degradation and insufficient fertilizers to grow ~~crops~~ CROPS. In the following, I will evaluate the government's policies to promote economic growth and development in Malawi.

Their first project aims to increase sustainable land management practices and build water-related infrastructure. This project will have a positive impact because it will help create more exports, which will ~~help~~ reduce the current account deficit. However, if too many exports get produced from exports the government will have to keep the contractionary fiscal policies in place in order

for inflation not to rise again. Another thing to watch out for is that if exports increase Malawi's currency is likely to appreciate. Appreciation makes the currency have a higher value in the market, which could lead to exports becoming more expensive so that other countries won't buy them no more.

The 2020 budget includes subsidies on fertilizer for more than 4 million small-scale farmers.

Subsidy on ~~fertilizers~~:

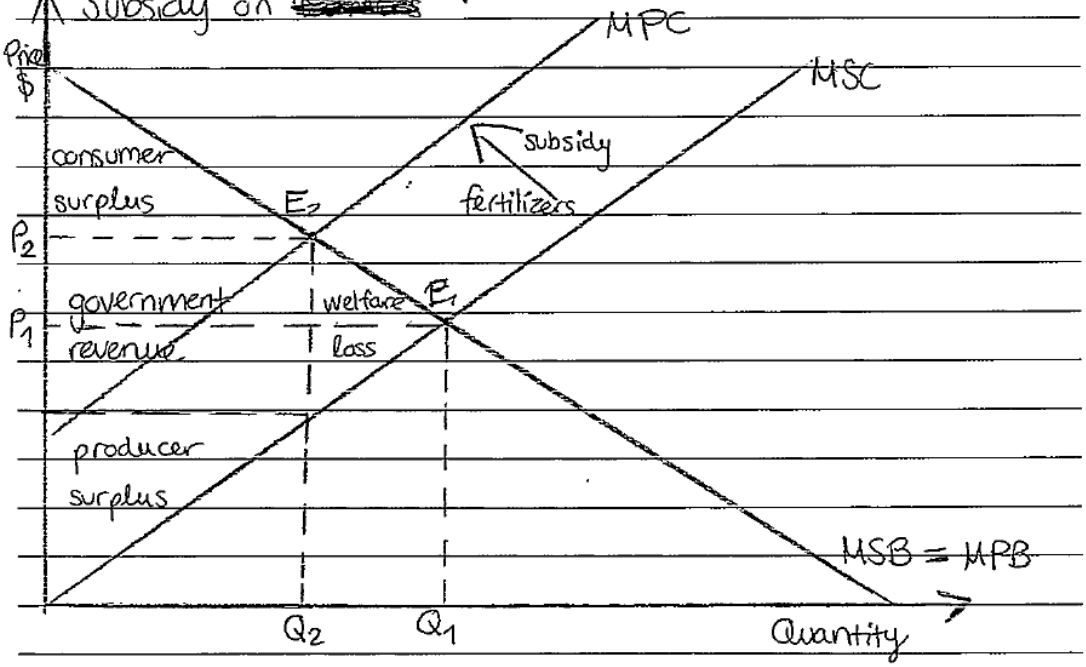


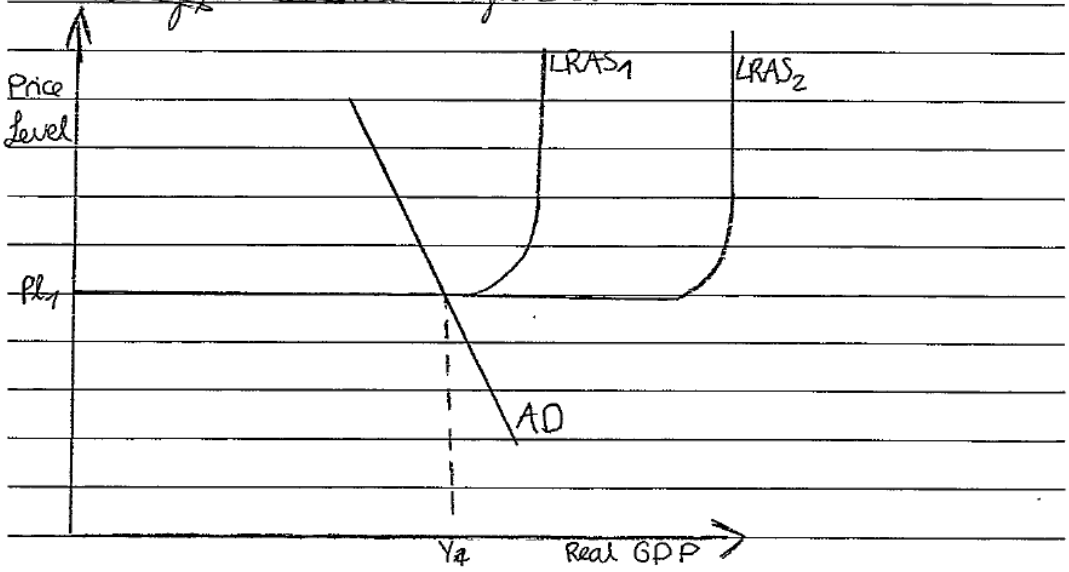
Figure 1

The subsidy on fertilizers however, will create welfare loss because farmers will have to charge a higher price to give the government their revenue on the crops. Another downside of this is the pollution these fertilizers will cause in the waterways. The fertilizers will mainly harm Malawi's economy and therfore not sensible.

The government should therefore, find a more sustainable fertilizer to give to the small-scale farmers. In figure 1 we can see how only the government benefits on the subsidy because the consumer and producer surplus decreases by almost a half of what it was before.

Another challenge are the limited availability of road and rail links and electricity and fuel. The government should include a solution to these problems into the budget. Better road and rail links would help workers and students get to work and school on time, which in the long run would make Malawi's workforce more efficient. A higher availability of electricity and fuel at low prices would also help Malawi with exports because crops and fertilizers would be easier to manufacture and transport.

~~Figure 1, I believe~~ Figure 2.



In Figure 2 we can observe how the increase in roads, electricity, fuel and train lines could benefit the economy a lot so that it would shift $LRAS_1$ to $LRAS_2$ by creating a new maximum capacity.

Finally I believe that Malawi's government should not subsidise on polluting fertilizer but rater increase sustainable land management in small-scale farms. Another thing the government should impose are interventionist supply-side policies to improve infrastructure across the country. They should keep using contractionary fiscal policies to reduce inflation so that the country does not get Stagflation in the short-run and the long-run. If the government follows this plan they will get rid of high poverty rates easier in the long-run.